

ELAINE SHEN
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RESEARCH AND TEACHING FIELDS:

PRIMARY

Household Finance
Labor Economics

SECONDARY

Behavioral Economics
Health Economics

EDUCATION

DEGREE

DATE

UC Berkeley

Ph.D. in Economics

2027 (expected)

Thesis: Essays on Human and Algorithmic Advice

Committee: Stefano DellaVigna, Patrick Kline, Ulrike Malmendier, Jonathan Kolstad

Georgetown University

B.S. in International Political Economy

2016

Summa Cum Laude, Class Rank 9, Phi Beta Kappa; study abroad at University College London

PUBLICATIONS: (pre-PhD)

“A Clear Advantage: The Benefits of Transparency to Crisis Recovery”

with George Shambaugh. European Journal of Political Economy, vol. 55 (391–416), 2018

“Insurers and Green Bonds, an Entry Point into Sustainable Investing”

BlackRock, October 2018

WORKING PAPERS:

“The Price of “Free” Advice: Measuring Agency Problems in the Insurance Broker Market” (Job Market Paper)

with Margaret Kallus

Consumers turn to experts because they cannot evaluate complex choices, yet these same frictions can leave them unable to evaluate the experts themselves. Agency problems can therefore persist even in competitive, highly regulated markets. We study this problem in the Medicare insurance broker market, a market serving almost 70 million seniors and individuals with disabilities. We conduct an audit study where we hire senior “secret shoppers” to make 637 calls to randomly assigned brokers. Brokers provide at least one misaligned recommendation on 52% of calls and dominated recommendations can cost seniors over \$12,000 in present-value lifetime wealth. A natural experiment eliminating broker commissions reduces steering towards a higher-commission plan by 21p.p., but does not eliminate it. A treatment variation designed to increase perceived competition by signaling that seniors will collect multiple recommendations causes brokers to recommend lower-priced plans. Competing on price, however, may also lower plan quality and consumer surplus. Using a structural model to estimate counterfactual policies, we find that supply-side reforms such as equalizing commissions and directing seniors to more experienced brokers lead to larger gains in consumer surplus than policies that can be directly implemented by seniors themselves (e.g. consumer feedback and competitive pressure). The findings highlight limitations to using consumer choice and competition to discipline markets for complex products.

“Dollars and Sense: Self-Selection in Financial Literacy Education”

with Junru Lyu & Laila Voss

A central prediction of human capital theory is that individuals with the highest marginal returns to education should be the most likely to invest in it. We document a stark violation of this prediction in financial literacy education: individuals with the lowest baseline knowledge—and thus the highest potential returns—have the lowest demand for education. Using motivating evidence from a large university personal finance course and a controlled online experiment (n=1,047), we document that demand for financial education is positively correlated with baseline financial literacy, potentially exacerbating pre-existing inequalities. In the lab setting, we identify the mechanism driving this inefficiency. Low-ability individuals systematically mis-calibrate their beliefs, overestimating their baseline knowledge while underestimating the returns to education. To test whether reducing perceived cognitive costs can correct this distortion, we vary the format of the education material, comparing a traditional lecture-style education to video- and AI-based alternatives. While the AI and video versions significantly increase aggregate demand, they fail to correct the adverse selection on ability. Together, the results suggest that supply-side interventions alone may be insufficient to close financial literacy gaps without addressing underlying belief distortions.

“Deadpooling: Biases, Regulations, and Dominated Choices in the Medicare Supplement Market”

with Margaret Kallus

Profit-maximizing firms often find ways to benefit from inattentive consumers. An example is in insurance markets, where insurers facing limited consumer mobility have an incentive to strategically cycle their risk pools by using low advertised rates to attract new business while raising rates on existing consumers. When a cohort of healthy new enrollees ages and sickens, the insurer closes the block to new entrants, continues extracting above-cost premiums from the trapped cohort, and opens a fresh block to attract the next healthy cohort. We call this practice “deadpooling.” This paper formalizes the mechanism as a general property of open-price insurance contracts with imperfect consumer switching, then uses the Medigap market, a setting with state-level variation in switching rules, to provide the first empirical documentation of deadpooling at scale. We find that 16.7% of Medigap life-years are spent in a plan that deadpools, resulting in an estimated \$293.8 million annual transfer from seniors to insurer profits, and \$5.6 billion over our sample period. Our mechanism test distinguishes strategic markup from passive adverse selection: within states with no switching rights, deadpooled blocks show premium growth exceeding claims growth, while non-deadpooling closures do not. A calibrated micro-simulation evaluates policies aimed at curbing this practice, finding that many demand-side interventions are not effective without a highly attentive consumer base.

“The Hidden Curriculum”

with Michael Cuna

We study the hidden curriculum: implicit, unwritten practices critical to educational and career success, such as networking. These unobserved skill gaps are a critical barrier to information acquisition and limit upward mobility. Using data from over 70,000 students across 20 public universities, we identify a first-generation gap in investment in hidden-curriculum actions. Second, in a field experiment at UC Berkeley, an information intervention increases take-up of hidden-curriculum actions by 13 p.p., closing roughly 77% of the baseline gap. Finally, an online experiment with AI college advisors shows that first- and continuing-generation students exert similar information-acquisition effort, but respond differently to hidden-curriculum nudges; proactive information about returns eliminates this gap. The results highlight that asymmetric information about potential strategies and returns may prevent equal access from delivering equal opportunity and equal outcomes.

WORK IN PROGRESS:

“Personality Assessment Algorithms in Hiring” (analysis stage)

with Hadar Avivi & Margaret Kallus

“Money Therapy: AI Advice and Financial Decision-Making” (pilot funding and data use agreement secured)

with Emanuel Renkl & William Zhang

“Overconfidence and Information Seeking: Implications for Financial Decision-Making” (funded; pilot fall 2026)

with Vanessa Sticher

“AI, Beliefs, and Job Search” (IRB-approved; pre-registration in progress)

with Marion Carr & Michael Cuna

“Advertising and Persuasion in Medicare Insurance Markets”

with Margaret Kallus

“Insurance Agent Licensure: Turnover, Trends, and Spatial Differences”

with Margaret Kallus

“The Long-Term Impact of Financial Literacy: Evidence from Community College” (funding secured, piloting stage)

with Junru Lyu

PRESENTATIONS:

September 2026	SITE Psychology and Economics, Stanford, CA
July 2026	NBER Summer Institute, Workshop on Aging, Cambridge, MA*
June 2026	ASHE (American Society of Health Economists), Minneapolis, MN*
April 2026	Stanford Financial Education Symposium, Stanford, CA (poster)
January 2026	ASSA, Philadelphia, PA*
June 2025	ASHE, Nashville, TN*

*presented by a coauthor

PROFESSIONAL EXPERIENCE:

RESEARCH:

Research Assistant to Professor Terrance Odean, U.C. Berkeley

(Summer 2023)

Research Assistant to Professor Manisha Padi, U.C. Berkeley

(Summer 2022)

TEACHING:

Graduate Student Instructor, Haas School of Business, U.C. Berkeley

(Spring 2024, 2025)

EW MBA 201B Macroeconomics (Prof. Wilcox).
 Graduate Student Instructor, Department of Economics, U.C. Berkeley (2023)
 ECON 119 Psychology and Economics (Prof. Taubinsky).
 Teaching Assistant, Department of Economics, Georgetown University (2014–2016)
 ECON 001 Introduction to Microeconomics (2015–2016)
 ECON 002 Introduction to Macroeconomics (2014–2015)

INDUSTRY:

BlackRock, Insurance Portfolio Management Team, New York, NY (2016–2021)
 Fixed income portfolio management for Financial Institutions Group (FIG) team

FELLOWSHIPS AND AWARDS:

2026	Stone Center on Wealth and Income Inequality Dissertation Fellowship	(\$17,000)
2026	National Endowment for Financial Education (NEFE) Research Grant	(\$35,000)
2025	Stanford Institute for Financial Decision-Making (IFDM) Grant	(\$10,000)
2025	Stone Center on Wealth and Income Inequality Dissertation Fellowship	(\$17,000)
2025	J-PAL Health Care Delivery Initiative (HCDI) Research Grant	(\$50,000)
2025	J-PAL Social Policy Research Initiative (SPRI) Research Grant	(\$50,000)
2025	Institute for Business & Social Impact Research Grant	(\$29,000)
2025	Robert Wood Johnson Foundation Racial Inequalities in Health Research Grant	(\$25,000)
2025	Xlab Graduate Student Research Funding	(\$4,000)
2024	Outstanding Graduate Student Instructor Award (awarded first semester of teaching)	
2024	Commonwealth Fund Research Grant	(\$50,000)
2024	Fisher Center Research Fellowship	(\$15,000)
2024	UC Berkeley Law, Economics, and Politics Research Fellowship	(\$9,500)
2024	Economics Department Summer Research Funding	(\$1,600)
2023	Fisher Center Research Fellowship	(\$15,000)
2023	UC Berkeley Law, Economics, and Politics Research Fellowship	(\$6,500)
2023	Burch Center for Inequality Place Based Policy Fellowship	(\$10,000)
2023	University of California Consumer Credit Panel (UC-CCP) Access Funding <i>with Tudor Schlanger</i>	(\$8,000)
2022	Fisher Center Research Fellowship	(\$15,000)
2022	UC Berkeley Law, Economics, and Politics Research Fellowship	(\$9,000)
2021	National Science Foundation (NSF) Graduate Research Fellowship	
2016	Leslie H. Jacobson Medal for Best Thesis in the International Political Economy Major	
2014	Benjamin A. Gilman International Scholar	
2014	Georgetown University Honors Research Seminar, Krogh Scholar	

OTHER INFORMATION:

Referee:	American Economic Review, Journal of Public Economics
Service:	Graduate Economics Association (GEA) Co-Chair (2022–2023)
Mentoring:	GEA PhD Student Mentor (2022–present) Undergraduate Research Assistant Program (URAP) (2022–present)
Software:	Stata, Python, R, Bloomberg, Thomson Reuters Eikon, LaTeX
Languages:	English, Mandarin Chinese
Certifications:	FINRA Series 7 and 63 (2016–2021); Passed Level I of the CFA Exam
Citizenship:	United States